

MARKET REPORT

MULTIFAMILY 2Q/26

Northern New Jersey Metro Area

Marcus & Millichap

Absorption Shows Resilience as Rent Controls Shift Supply Pressure to Market-Rate Units

Strong leasing faces heavy supply pipeline. Despite softer migration trends, the metro posted the third-smallest net absorption pullback among major markets over the year ended in March, falling just 10 percent and helping vacancy edge lower. High ownership costs, New York City spillover, and healthcare hiring should help sustain renter demand, especially with healthcare jobs up nearly 4 percent year-over-year as of May — leading all major East Coast metros. Still, roughly 33,000 units remain under construction, down only 13 percent from the 2022 peak, keeping lease-up pressure elevated and rent growth subdued near term.

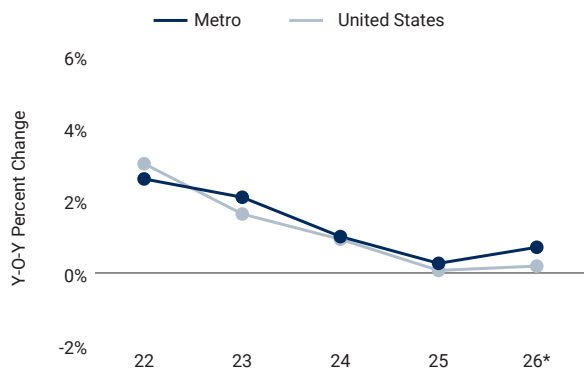
Class C lock-in weighs on upper-tier rentals. Class A vacancy fell 200 basis points over the past year but still stood at 7.5 percent in March, the highest rate among major markets. Class B vacancy held flat at 5.4 percent, the ninth-highest rate nationally, while Class C vacancy was at just 3.0 percent. With Class B rents roughly \$1,000 above Class C rents — trailing New York City for the widest gap nationally — lower-tier renters have strong incentives to stay put. This has pushed Class C renewal conversions near 80 percent, compared with the 60 percent U.S. average, reflecting a rent-control distortion that limits lower-end turnover while leaving upper-tier units to carry more of the lease-up burden.



Employment

Net job gains year-to-date through May have roughly matched the total for all of 2025, pointing to stronger hiring momentum. Outside health care, hiring has been led by leisure and hospitality, but World Cup-related gains may prove temporary. Still, comparatively stronger job growth in New York City should also aid local rental demand as households seek nearby, lower-cost alternatives. PATH's largest service expansion in 25 years, including restoration of seven-day service, should further strengthen the metro's link to New York City.

EMPLOYMENT TRENDS



* Forecast

Sources: BLS; CoStar Group, Inc.; RealPage, Inc.

2026 FORECAST



EMPLOYMENT

7,500

Jobs will be created

0.7%

Increase Y-O-Y



CONSTRUCTION

16,100

Units will be added

3.2%

Inventory increase Y-O-Y



VACANCY

5.3%

Vacancy rate

50

BPS increase Y-O-Y



RENT

\$2,595

Average effective rent by year-end

2.1%

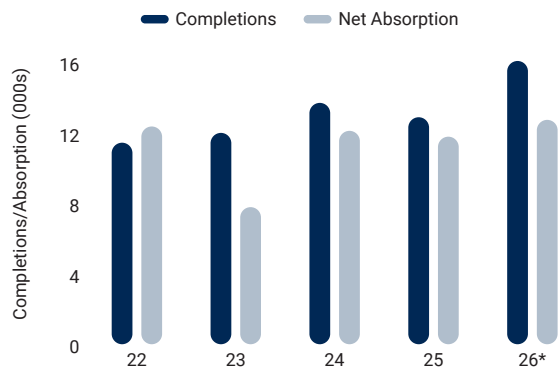
Increase Y-O-Y



Construction

Hudson County will remain the epicenter of new supply in 2026. About 5,400 units will open in Jersey City and 1,800 in Hoboken, with a large uptick in Hoboken offsetting a slight decline in Jersey City. Bergen and Essex counties are also slated to record roughly 1,000 deliveries each, keeping supply pressure more concentrated in the metro's core counties. In contrast, construction is slowing more sharply in Union, Morris, and Passaic counties, where fewer completions should begin to ease pressure on local fundamentals.

CONSTRUCTION TRENDS

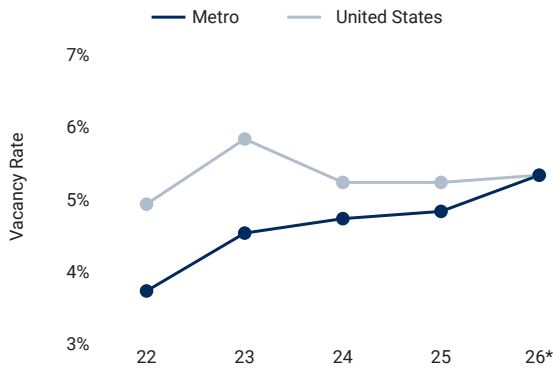




Vacancy

Hudson and Bergen counties led the metro in vacancy tightening over the past 12 months, with Class A and B rates declining sharply to below 7 percent and near 4 percent, respectively. Conditions softened elsewhere in the metro, with Class A and B rates in the 7 percent to 13 percent range across Morris, Union, Passaic, and Essex counties. Meanwhile, every submarket maintained Class C vacancy rates at or below 3.5 percent, underscoring persistent tightness in this segment.

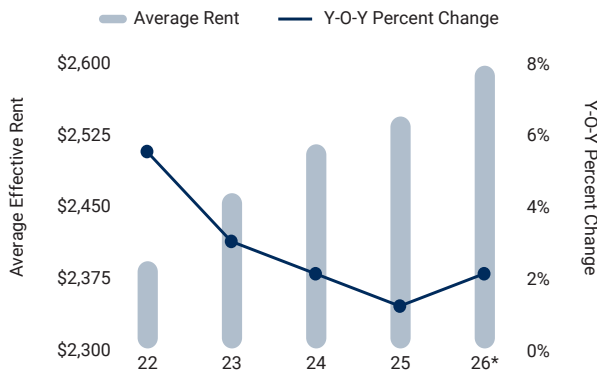
VACANCY TRENDS



Rent

As of March 2026, every submarket recorded year-over-year rent growth of 2 percent or less, with Hudson and Bergen counties slightly outperforming the rest. Rent growth across all classes was also below 2 percent, underscoring broad pricing pressure. Around 20 percent of metro units offered concessions in early 2026, the highest share in several years but still below the U.S. rate of about 25 percent. Class C units posted the highest concession share, suggesting available older units still require incentives to lease.

RENT TRENDS



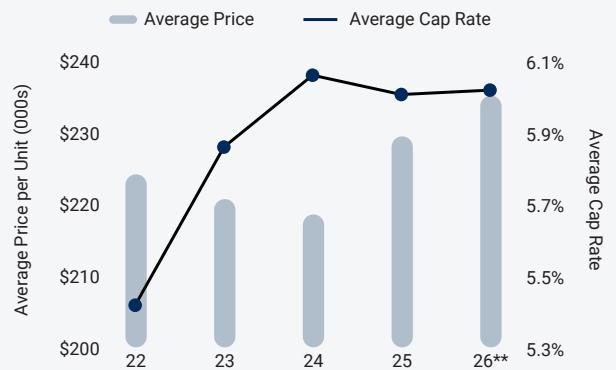
* Forecast ** Through 1Q

Sources: Costar Group, Inc.; Real Capital Analytics; Real Page, Inc.

INVESTMENT HIGHLIGHTS

- Tax and regulatory pressures have kept private investors cautious, but institutional deal flow reaccelerated over the past 12 months. Trades above \$10 million nearly doubled from the prior period, reaching the highest total since 2022. Post-2010 assets exempt from rent control remain appealing despite near-term vacancy pressure, as low Class C turnover concentrates new renter demand in market-rate Class A and B units, supporting stronger rent growth as supply pressure eases.
- A proposed 15 percent municipal property tax increase in Jersey City could shift investor strategies. Institutions may favor newer assets with PILOT agreements or remaining tax-abatement periods, while private buyers may seek properties with appealable assessments or renovation upside to mitigate higher tax costs.
- Some private buyers may look more closely at Essex County, including East Orange, where the \$83.3 million Brick Church Station modernization should improve accessibility and strengthen transit-oriented demand. Newark may also regain appeal as Rutgers Health and University Hospital advance a multiyear campus redevelopment, supporting the city's health care anchor.
- Bergen County's affluent renter base has supported the metro's strongest Class C renewal conversion rate and lowest concession usage. This dynamic, combined with the resumed \$16 billion Hudson Tunnel Project, could attract investors by adding construction-related renter demand and improving long-term transit reliability.

SALES TRENDS



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